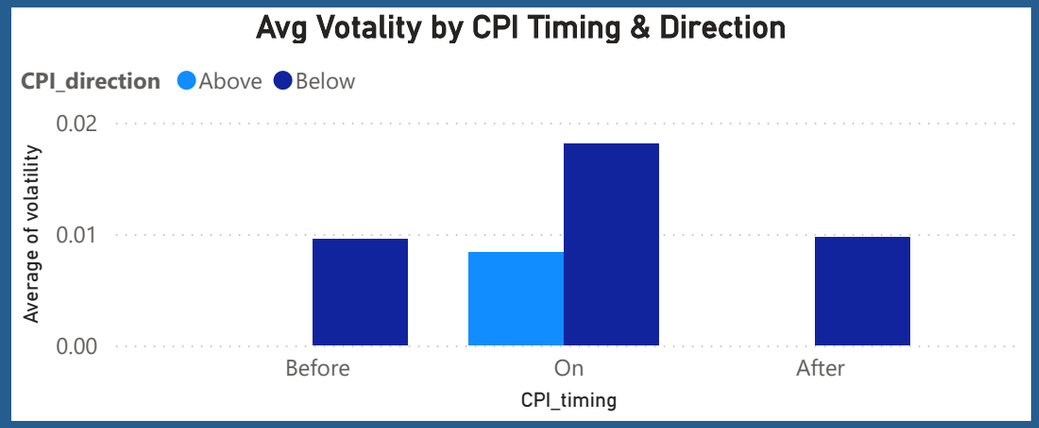
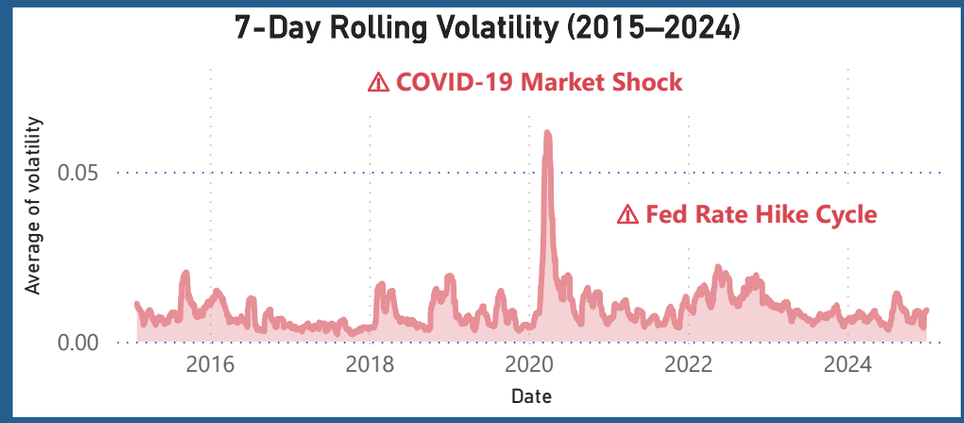
Stock Market Reaction to Macroeconomic Announcements (2015 - 2024)



Volatility peaks ON the announcement day — particularly when CPI comes in below expectations — then normalizes, confirming CPI as a short-term volatility trigger.



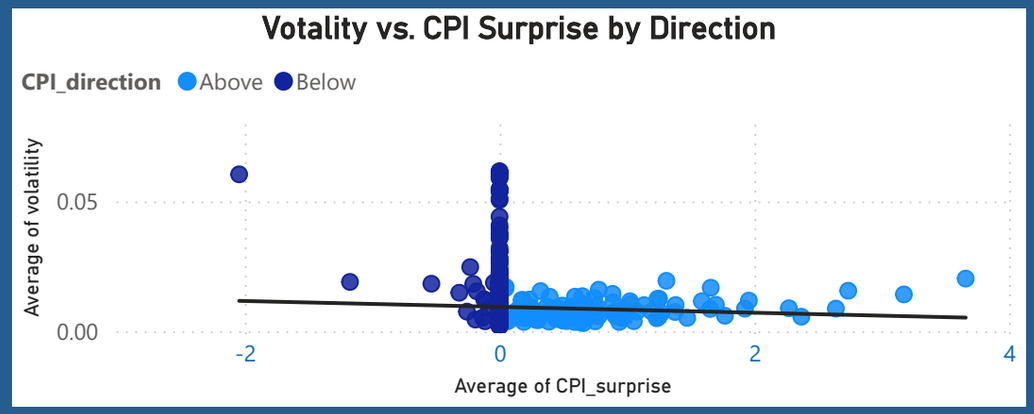
Rolling volatility remained low pre-2020, spiked sharply during COVID-19, and stayed elevated through the 2022 Fed rate hike cycle.

2.496K
Total Days

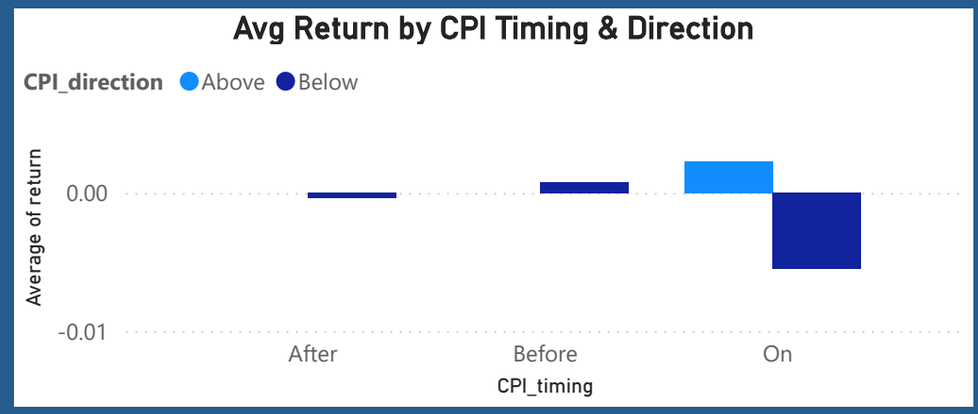
4117.6%
Vol Spike %

0.01
Post-CPI Volatility

-0.04
CPI-Vol Corr



Weak negative correlation — CPI surprise magnitude has minimal linear relationship with volatility, suggesting announcement timing matters more than surprise size.



Markets react most negatively ON CPI day when inflation exceeds expectations — Before and After windows show muted, near-zero average returns.